

Investment Committee Memorandum

Investment Committee Memorandum — Entry — Crestview Coffee Roasters, Inc.

April 17, 2019 | Confidential — IC Use Only

Deal snapshot

Item	Detail
Target	Crestview Coffee Roasters, Inc.
Headquarters	Austin, TX — founded 2011
Sector / sub-sector	Consumer — DTC Premium Coffee & Subscription Roasting
Banker	Lazard Frères (sell-side)
Process structure	Limited auction, 12 parties, 6 round-2 advancers, exclusivity granted
LTM Revenue / EBITDA (at signing)	\$270M / \$36.5M (13.5% margin)
Revenue growth (LTM YoY)	+22%
Entry Enterprise Value	~\$493M (13.5x LTM Adj. EBITDA)
Equity Purchase Price	~\$296M
Debt at Close	\$213M (5.9x LTM Adj. EBITDA)
Recommendation	INVEST — PROCEED TO CLOSE
Deal team	S. Harrington (Partner), D. Okafor (Principal), N. Patel (Associate)

1. Recommendation

The Investment Team recommends the Investment Committee approve the acquisition of Crestview Coffee Roasters at \$493M enterprise value (13.5x LTM Adj. EBITDA) with \$213M of senior secured debt. Crestview is a fast-growing DTC premium coffee brand with a highly loyal subscription base, proprietary single-origin sourcing relationships, and a clear path to meaningful EBITDA margin expansion through operational leverage. We believe this business can reach \$550M+ revenue and a 16%+ EBITDA margin within 5 years, supporting an exit at 13–14x on materially higher earnings. The deal team conducted 8 weeks of comprehensive diligence including customer cohort analysis, supply chain verification, and a management assessment by Korn Ferry.

2. Company overview

Crestview Coffee Roasters is a vertically integrated DTC premium coffee company founded in 2011 by former Starbucks executive Tom Crestview. The Company operates 3 roasting facilities (Austin TX, Portland OR, Nashville TN) and sources single-origin beans through 14 exclusive farm partnerships across Ethiopia, Colombia, and Guatemala. Revenue channels: DTC e-commerce (22%), subscription delivery (34%), specialty wholesale (B2B; 28%), and retail (Whole Foods, Target; 16%). LTM revenue \$270M (+22% YoY), EBITDA \$36.5M (13.5%). Subscription customer base: 48,000 active subscribers at \$149/yr average. Customer LTV/CAC ratio of 6.8x — top-decile for DTC consumable brands. No significant debt prior to this transaction.

3. Investment thesis

- **DTC subscription flywheel creates durable recurring revenue with exceptional unit economics.** Subscription revenue is growing at 38% YoY and carries 71% gross margin vs. 52% for wholesale. Customer retention rate of 84% at 12 months and 69% at 24 months — best-in-class for DTC food/bev. Each incremental subscriber represents ~\$400 LTV at current churn. Our 5-year model targets 118K subscribers, representing ~\$47M of high-quality, low-churn recurring revenue.
- **Significant white space for DTC channel expansion from 22% to 44% of revenue.** Current DTC e-commerce (22% of revenue) is heavily underpenetrated vs. comparable DTC CPG brands that achieve 40–60% DTC mix at scale. Crestview has built its brand organically through word-of-mouth with minimal paid marketing; incremental digital investment at current LTV/CAC will drive substantial subscriber growth. Our model assumes DTC mix reaches 44% over 5 years — a conservative assumption for a brand with Crestview's community strength and NPS of 81.
- **Roasting capacity expansion unlocks margin improvement and supply chain differentiation.** The Company operates at 91% roasting capacity across 3 facilities. Two planned roasting facility additions (target: Austin expansion + new Southeast hub) will reduce third-party tolling costs (currently \$3.8M annually), improve freshness (Atlas Crossing has verified a 4-day shelf-life advantage vs. the category), and create a sustainable competitive moat as the DTC channel scales.
- **Wholesale and B2B channel provides stable cash flow foundation while DTC scales.** Wholesale accounts (Whole Foods, Target, regional specialty chains) are high-margin per door given Crestview's premium positioning and strong sell-through. 94% on-shelf in-stock rate. B2B corporate office delivery has grown 41% YoY with minimal incremental capex. These channels generate predictable cash flow that funds DTC growth investments without requiring significant additional capital.
- **Highly fragmented specialty coffee market ripe for brand-led consolidation.** The US specialty coffee market is estimated at \$46B and growing at 8% CAGR. Premium DTC sub-segment is \$3.2B growing at 24%. Top-5 DTC coffee brands hold <18% share collectively. Crestview has the brand, supply chain depth, and operational infrastructure to consolidate 2–3 regional roasters during the hold period, expanding geographic presence and manufacturing capacity at attractive entry prices.

4. Key risks and mitigants

Risk	Mitigant
Coffee commodity price volatility (green coffee beans)	Crestview holds 9-month forward hedges on 85% of bean requirements; farm partnership contracts include price floors; margin sensitivity analysis shows 10% bean price spike = \$2.1M EBITDA impact (~6%), manageable within covenant headroom
DTC customer acquisition cost inflation (paid social, search)	Current CAC of \$68 built primarily on organic/community-driven acquisition; paid channel is <30% of DTC acquisition; management team has demonstrated 6.8x LTV/CAC with room to absorb CAC inflation of 20–30% before economics degrade
Subscription churn acceleration in an economic downturn	Historical data through 2016 macro softening showed only +4% churn increase; premium coffee is inelastic relative to other luxuries; subscription price point (\$149/yr) is well below consumer 'pain threshold' in typical recessions
Key-man dependency (Founder/CEO Tom Crestview)	Negotiated 4-year employment agreement with 18-month gardening clause and \$8M retention package; COO Elena Ruiz (ex-Blue Apron COO) is capable successor in near term; Korn Ferry completed senior leadership bench assessment with favorable findings
Food safety and supply chain disruption risk	Roasting at 3 geographically dispersed facilities creates natural redundancy; FDA registration current across all sites; comprehensive product liability insurance in place; allergen controls audited by NSF International annually

5. Diligence summary

5.1 Commercial and brand diligence

Commissioned a brand perception study (n=2,200) with Harris Poll. Crestview unaided brand awareness of 34% in premium coffee segment nationally — top-3 behind Stumptown (Blue Bottle-owned) and Intelligentsia. NPS of 81 vs. category median of 52. Specialty coffee retail channel checks confirmed Crestview commands a 22% price premium vs. category peers and maintains 94% on-shelf placement. DTC cohort analysis confirmed 84% 12-month subscription retention (primary diligence data from company data room).

5.2 Financial quality of earnings

PricewaterhouseCoopers conducted full QofE. Key findings: (1) no material adjustments to EBITDA; (2) one-time warehouse expense of \$1.1M in FY2018 appropriately excluded from run-rate; (3) revenue recognized on shipment — consistent with industry; (4) inventory valued at standard cost with realistic write-off reserves. Adjusted LTM EBITDA of \$36.5M confirmed with high confidence.

5.3 Supply chain and sourcing

Farm partnership contracts reviewed with outside counsel (Covington & Burling). 14 exclusive sourcing agreements range from 3–7 years in duration; 9 include price floor and volume commitment protections. Third-party agronomy audit (RainForest Alliance) confirmed crop quality and social compliance at all 14 farms. Green coffee inventories verified at \$8.2M carrying value. Import compliance and FDA import records reviewed — no material issues identified.

6. Financial projections

Management base case (Atlas Crossing confirmed; conservative adjustments applied):

(\$M)	LTM (Entry)	2019A	2020E	2021E	2022E	2023E
Revenue	\$270	\$298	\$328	\$366	\$410	\$460
YoY Growth	—	+10%	+10%	+12%	+12%	+12%
Adj. EBITDA	\$36.5	\$41	\$46	\$54	\$64	\$75
EBITDA Margin	13.5%	13.8%	14.0%	14.8%	15.6%	16.3%
D&A	\$6.0	\$6.5	\$7.0	\$7.5	\$8.0	\$8.5
Interest Expense	\$16.8	\$17.0	\$16.5	\$15.8	\$14.9	\$13.8
Capex	\$7.2	\$8.0	\$9.0	\$9.5	\$8.5	\$8.0

Note: 2019A reflects partial-year post-close. Projections incorporate 2 roasting facility additions by 2021 and DTC/subscription growth to 44% of revenue by Year 5.

7. Capital structure — Sources & Uses

Sources	\$M	Uses	\$M
New Senior Secured TL (5.9x)	213	Equity Purchase Price	296
Sponsor Equity (Fund III)	264	Refinance Seller Debt	22
Management Rollover	32	Transaction Fees & Expenses	28
Total Sources	509	Total Uses	509

8. Return analysis

Base case return analysis assumes a Year 5 exit (2024) at 13.5x forward EBITDA on \$75M projected EBITDA, producing an exit EV of approximately \$1.01B. Bear case assumes 11.5x on \$64M EBITDA (\$736M exit EV). Bull case assumes 14.5x on \$85M EBITDA (\$1.23B exit EV).

Scenario	Entry EV	Exit Yr	Exit Mult.	Gross MoIC	Gross IRR
Bull Case	\$493M	Yr 5	14.5x	3.5x	28%
Base Case	\$493M	Yr 5	13.5x	2.7x	22%
Bear Case	\$493M	Yr 5	11.5x	1.8x	13%

9. Management assessment

CEO Tom Crestview is a 28-year coffee industry veteran and highly credible brand ambassador. COO Elena Ruiz (ex-Blue Apron) joined in 2017 and has built a strong operational foundation. CFO Marcus Ho (ex-Warby Parker) joined in 2018 with e-commerce and DTC finance depth. Korn Ferry assessment rated the full leadership team in the top quartile for consumer-DTC companies at this revenue scale. All three have agreed to the 4-year retention packages. The deal team has high confidence in the management team's ability to execute the Atlas Crossing value creation plan.

10. Recommendation

The Investment Team unanimously recommends the Investment Committee approve the acquisition of Crestview Coffee Roasters at the agreed terms. We believe this is one of the highest-quality consumer-DTC assets we have evaluated and that the entry valuation of 13.5x EBITDA is justified by the subscription unit economics, brand strength, and margin expansion opportunity. We recommend approving the transaction and funding from Atlas Crossing Partners Fund III.

Submitted by the Deal Team:

Simon Harrington — Partner

Deborah Okafor — Principal

Nina Patel — Associate